Are NBFCs in India shadow banks? They are shadow banks in the sense that they perform bank-like intermediation; but they are also not shadow banks because, unlike shadow banks elsewhere which emerged and flourished beyond regulatory oversight, India's NBFC sector has always been regulated, although less tightly than the banking sector.

Even though our NBFCs are not shadow banks, reflecting the global unease about financial sector entities outside of the banking system, we too felt that there was a need to review our regulatory approach to the NBFC sector in the context of the shrinking difference between banks and non-banks, and their increased interconnection. This was the motivation for my decision to appoint a working group under the chairmanship of retired Deputy Governor Usha Thorat in November 2010 to advise on the broad principles that must underpin the Reserve Bank's regulatory approach to the NBFCs keeping in view the economic role performed by them, their heterogeneity as well as recent international experience.

The thrust of the Usha Thorat Working Group (UTWG) recommendations was that the Reserve Bank must use its regulatory and supervisory resources more efficiently by relaxing the regulation on smaller NBFCs and focusing more on larger, systemically important NBFCs.

The UTWG recommendations were eminently rational and the Reserve Bank subsequently accepted and implemented most of them. But one recommendation that remains in abeyance has been the one regarding exempting smaller NBFCs—those with asset sizes of less than ₹500 million—from the requirement of registration with the Reserve Bank. Just to get a perspective on this, note that of the 12,000 NBFCs registered with and regulated by the Reserve Bank, over 11,000 fall into this category of asset size below ₹500 million.

I would have thought that any relaxation like this which sought to exempt over 90 per cent of the NBFCs from the requirement of registration would be welcomed by the sector. On the contrary, they were quite agitated as they were afraid of foregoing the credibility and reputation that came with registering with the Reserve Bank. In any case, the public outcry following